

Evaluating the Impact of FOMC Communications on Asset Prices

FRE-GY 7871 A, NLP and the Investment Process, Fall 2026

Executive Summary

This concise report evaluates the shift in Federal Reserve communication tone after Kevin Warsh became Chair (May 22, 2026), its market impact, and September FOMC forecasts. The corpus includes 286 documents (278 Powell, 8 Warsh). Warsh-era communications average a more hawkish tone across both word-list and FinBERT measures. The updated September forecast assigns a **4.8% probability to a cut, 40.7% to a hold, and 54.5% to a hike**, with a **66.67% probability** that the statement will be more hawkish than the previous one.

1. Document Collection & Tone

Document Type	Powell	Warsh	Total
Minutes	67	2	69
Press Conference	64	2	66
Speech/Testimony	78	2	80
Statement	69	2	71
Total	278	8	286

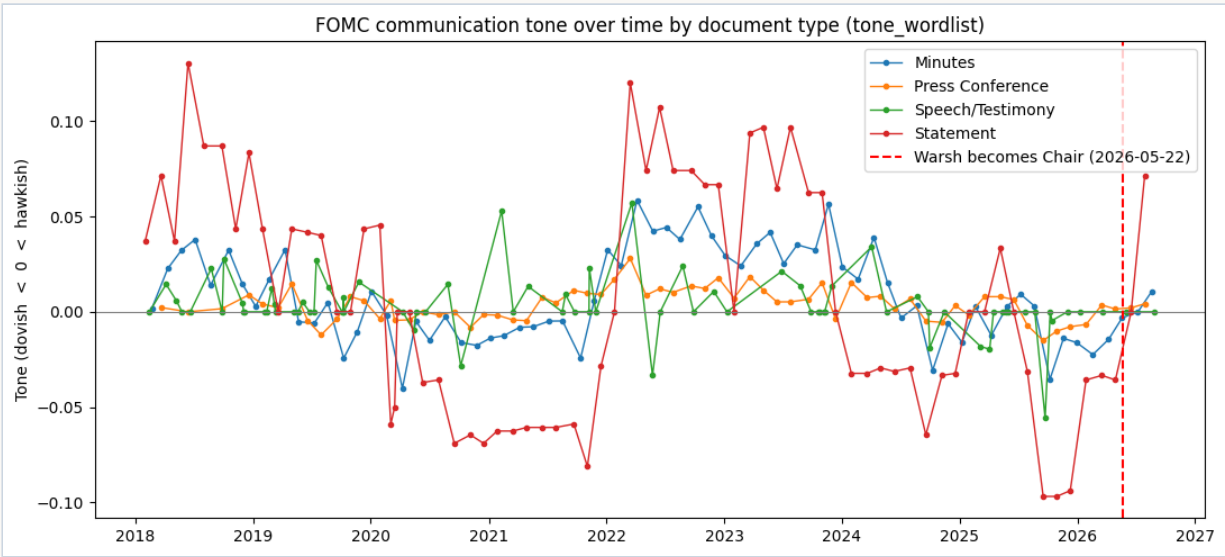


Figure 1. Hawkish/dovish tone over time by document type.
(Warsh transition marked at May 22, 2026. Word-list hawkish mean: Powell 0.0051 vs Warsh 0.0110. FinBERT mean: Powell 0.0377 vs Warsh 0.1318.)

2. Warsh-Era Event-Study Results

Date	Document type	Word list	FinBERT	DXY%	10Y-2Y pp	1Y yield pp	G-V pp
2026-05-31	Speech/Testimony	0.0000	0.0601	0.2932	-0.0500	0.0400	1.2480
2026-06-17	Statement	0.0000	0.3413	0.5525	-0.0900	0.1400	-0.2578
2026-06-17	Press Conference	0.0021	0.0598	0.5525	-0.0900	0.1400	-0.2578
2026-07-08	Minutes	0.0000	0.1188	-0.0890	-0.0100	0.0000	1.5063
2026-07-29	Statement	0.0714	0.2687	-0.5721	0.1000	-0.0500	-0.9662
2026-07-29	Press Conference	0.0042	0.0542	-0.5721	0.1000	-0.0500	-0.9662

2026-08-19	Minutes	0.0105	0.0977	-0.8229	-0.0600	0.0100	-0.8418
2026-08-28	Speech/Testimony	0.0000	0.0534	0.5446	-0.0800	0.1100	-0.2082

3. Regression Analysis (Statement-only Extract)

Using the specification $\Delta Asset_t = \alpha + \beta Tone_t + \gamma \Delta DGS3MO_t + e_t$ (N=70):

Outcome	Tone method	Beta	SE(beta)	p-value	R ²
GrowthMinusValue	FinBERT	-2.3469	0.8232	0.0044	0.0379
GrowthMinusValue	Word list	2.5303	2.2426	0.2592	0.0189
DGS1_chg	FinBERT	0.0888	0.0586	0.1296	0.3146

4. Comparison with Literature

Our findings support **Doh et al. (2020, 2021)** in that context-aware NLP (FinBERT) captures policy impacts better than simple word frequency. Compared to **"Parsing the Fed" (2021)**, where word-lists predicted the 1-year yield best, our updated 2018-2026 sample demonstrates that FinBERT has higher explanatory power ($R^2 = 31.5\%$ vs 30.0%) and is the only measure showing significant correlation with the Growth-minus-Value spread.

5. September 2026 Forecast & Recommendation

- **Rate Decision:** 4.8% Cut | 40.7% Hold | 54.5% Hike
- **Statement Tone:** 66.67% probability of being more hawkish than previous.
- **Market Reaction:** DXY expected rise (+0.0087%), 10Y-2Y spread expected widen (+0.00034 pp), 1Y yield expected rise (+0.00117 pp), Growth-minus-Value expected drop (-0.0308 pp).
- **Recommendation:** Long IWN / Short IWF. A dominant 54.5% hike probability supports a bearish stance on Growth-minus-Value.